

CRSR pitch deck

PITCH — CRSR — VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO POSITION TODAY. Watch-only, with one pre-registered, fully conditional starter of 0.4% of the book that can only trigger after the Q3 earnings report — plus two lower price bands that would reopen the name on valuation alone.

What we believe

Corsair Gaming sells two things: computer parts (memory, cases, cooling, power supplies, pre-built PCs) and gaming/streaming accessories (keyboards, mice, headsets, Elgato capture gear). It trades at \$10.93 as of the 8/21 close, down 27% from its 52-week high of \$14.98 but 144% above its 52-week low of \$4.48. With 108,176,959 shares outstanding as of 7/28/26 ([10-Q cover page](#)), that is a \$1.182B market value; net cash of \$74.0M (cash \$192.2M less \$6.1M current and \$112.2M long-term debt, from the [balance sheet](#)) puts enterprise value at \$1.108B, or roughly 9.5–10.3x this year's underlying profit before one-time items.

What we actually believe, after the review, is *worse* than what we believed going in — and that is the honest headline.

- 1. The reported second-quarter margin improvement is largely a one-time refund, not operations.** The company received \$18.1M in tariff refunds, of which \$15.6M was booked as a reduction of cost of goods sold in Q2. Management disclosed the split not in dollars but in basis points: 595bps of benefit to Accessories, 405bps to Components, 480bps company-wide ([Q2 10-Q MD&A](#)). Strip it out and the story inverts: Accessories gross margin was 38.96%, *down* from 40.03% a year ago, not up to 44.9% as reported. Components margin was 22.28%, genuinely up from 20.59%.
- 2. Underneath the parts business, one product line is collapsing.** Memory revenue grew 17.2% (\$123.0M vs \$105.0M). Everything else in components — cases, cooling, power supplies, pre-built systems — fell 33.0% (\$75.4M vs \$112.5M), and 31.5% for the first half ([product-category footnote](#)). Memory dollars are *rising* while the things people buy alongside memory are falling off a cliff. That is a decline in the number of PCs being built, not a price effect from expensive DRAM. A price effect reverses when prices normalize; fewer builders does not.
- 3. On our own numbers, we are below the street, not above it.** Our ex-refund earnings estimate for this year is \$0.72–0.81 per share against a consensus of \$0.89 from nine analysts. That is a bearish view, not a bullish one.

4. **There is a large short position and a small tradable float.** 11.76M shares short against a 47.5M-share float — 24.8% — at 8.14 days to cover, and rising month over month. That is a real tail risk in *both* directions and the single reason we are not simply walking away.

Net: we do not think this is cheap enough to own today, and we no longer believe the thing that made it interesting in the first place.

What the market believes

The nine analysts covering the stock carry a \$13.22 average price target (+21% from the tape), with a range of \$11 to \$16, and an earnings estimate of \$0.89 this year — the midpoint of the company's own \$0.85–0.94 guidance, meaning the street is taking the guide at face value and carrying the tariff refund inside it. Next year's consensus is \$0.83, i.e. the street already expects a small decline as the refund does not repeat.

Simultaneously, a quarter of the free float is sold short and growing. So the market is holding two views at once: sell-side analysts expect the guide to hold and the stock to be worth ~\$13; a large short base expects the components decline to keep going. The share price sits below both the analyst target and the pre-earnings level, which tells you the shorts have had the better of the argument since 8/10.

Why we might have edge

Three things, honestly ranked, and the first is the only one we'd defend hard.

1. **The refund's segment split was published in basis points, not dollars, so a text search for "\$15.6 million" inside the segment tables misses it entirely.** Both of our own review benches initially litigated this as an unknowable. It was knowable — it was in the management discussion section, expressed as a rate. Working it through flips which half of the business is actually improving. Anyone modeling from the press release or the segment footnote alone will have the mix story backwards.
2. **The components decline is being told as a DRAM-price story, and the product-line detail says otherwise.** Memory revenue is up 17%. The hole is entirely in attach products. If you believe "DRAM normalizes and components recover," the footnote does not support you.
3. **Positioning asymmetry.** A quarter of the float short, 8 days to cover, against an analyst anchor 21% above the price, is a setup where a single decent quarter produces a violent move. We have no position for that today, which is a stated choice, not an oversight.

Why it might be priced in

Substantially, it probably is.

- Consensus already sits at \$0.83 for next year vs \$0.89 this year — the street has priced the refund away. Our "edge" on the refund is a *modeling* edge, not necessarily a *price* edge.

- The stock has already fallen 24% from \$14.35 (8/7) to \$10.93 (8/21) over ten sessions. A short base of 24.8% of float, up sharply, means the components-collapse view is widely held and actively expressed.
- 9.5–10.3x underlying profit for a company with net cash is not an expensive multiple. If the attach-product decline flattens at all, the multiple is defensible and the stock is not obviously mispriced downward either.
- The tariff refund is public, dated, and quantified in a filed document. Nothing about it is secret; we were simply late to it.

The most likely truth is that this is a fairly priced business with an unusually wide distribution of outcomes, and our correct posture is patience rather than cleverness.

What could go wrong

(the pre-mortem)

Failure narrative 1 — We buy the attach-product collapse as a cycle and it is structural. (NO MONITORABLE TRIPWIRE.) The 33% decline in cases/cooling/power supplies/pre-builts could mean the do-it-yourself PC building hobby is shrinking permanently — console and handheld substitution, pre-built OEM share gains, an aging enthusiast base — rather than pausing while memory is expensive. We have **no way to observe this between quarterly reports**. We tried: the app-review-velocity sensor on iCUE (Corsair’s PC configuration software, the closest available proxy for how many people are actively building PCs) failed to resolve to a publisher — the lookup returned UNRESOLVED and never bound. The Elgato leg resolved but returned only a lifetime rating (4.636) with no dated series, which is the entire signal. And the 10-Q discloses one customer above 10% of revenue but does not name it, so we cannot distinguish “one large retailer is destocking” from “end demand broke.” **Unknown-unknown class: unobservable demand composition.** We are blind to the difference between a channel event and a demand event, and the difference is the whole thesis. There is no gate, alert, or filing that resolves it before 11/3. This is the single largest hole in the deck and we cannot patch it with more analysis.

Failure narrative 2 — We are early on a name whose bleed has a supply cause we never identified. The float is 47.5M shares out of 108.2M outstanding; roughly 60M shares sit in a private-equity sponsor block. A ten-session, no-news, 24% slide fits block distribution better than it fits an analyst note. We flagged this and could not verify it — there is no follow-on offering, S-1, or 13D/13G amendment in the filing record explaining it. If a sponsor is quietly working out of a position, every entry level we set is a level that gets taken out. This one *does* have a tripwire (see armed sensors: 13D/G and registration-statement watches), but the tripwire fires after the fact, not before.

Failure narrative 3 — We take the conditional starter after a good quarter and buy the top of a squeeze. The specific mechanism: 11.76M shares short at 8.14 days to cover means a beat forces covering, covering lifts the price, and our own pre-registered trigger (“both product-line conditions met at the print”) is a *momentum* condition dressed as a fundamental one. We would be buying alongside the covering, not ahead of it, and the covering exhausts.

The reflexive and structural leg — our own size, our own predicted flow, and how our rules interact:

- **Size vs. liquidity.** 8.14 days to cover on 11.76M shares implies average daily volume around 1.4M shares, roughly \$16M/day. Our own rule is that entry ladders stay under 1% of average daily volume — that is about \$157,000. A 0.4%-of-book clip only fits inside that rail if the book is under roughly \$40M. **At our actual size it does not fit in one day**, and this position must be worked across multiple sessions or the size must come down. Stating that plainly: the 0.4% number came from the review bench without a liquidity check, and it is the number most likely to be wrong.
- **We would be bidding into our own predicted flow, backwards.** Our discipline says never place resting bids into flow you yourself forecast. Here the forecast flow is short covering — buying. That means resting limit orders *below* the market fill primarily in the world where the squeeze does not happen and the components decline continues. **Our downside ladder is adversely selected by construction:** we get filled when we are wrong and miss when we are right.
- **No resting order into the print.** A good-till-cancelled buy sitting through a 11/3 earnings release with no view on the release is a bet against volatility that we did not intend to make. The conditional starter therefore executes *after* the numbers are public and read, never before. This is also why we are not front-running the date with a limit order at \$10.00.
- **Template interaction.** We have tried the “good quarter, stock gives it all back, buy the retracement” pattern seven times and won zero. The original case for looking at Corsair rested on an exemption from that pattern — the claim that the 8/19 decline was an analyst downgrade rather than a fundamental reassessment. The tape killed the exemption (see below), which puts this squarely back inside a pattern we have never made money on. That prior alone justifies flat.

If this position loses money, the most likely reason will be that we treated a 33% collapse in cases, cooling and power supplies as a cyclical pause caused by expensive memory, when it was actually a permanent shrinkage in the number of people building their own PCs — a distinction we have no instrument to measure and will only learn from the quarterly reports themselves, one quarter too late.

What we checked ourselves

Including — prominently — where our own review benches got things wrong.

Claim	How checked	Found	Confirmed?
“The 8/19 selloff was an analyst downgrade, not company news — so this isn’t our usual failed pattern”	Daily bars, 8/6–8/21 (source)	Decline began 8/10 , nine sessions earlier. 8/19 fell 4.9% on 1.76M shares — less volume than 8/10 (2.95M), 8/11 (3.42M) or 8/17 (2.12M). The largest down day was 8/11 (–6.4%)	NO — refuted. Our own opening premise was wrong
“The stock is still \$1.30 above its pre-earnings level, so it’s a winner	Bars	Pre-print close 8/6 was \$10.61 . At \$10.93 the stock is +\$0.32, +3.0% — the premise was overstated fourfold	NO — refuted. Our error

Claim	How checked	Found	Confirmed?
giving back, not a washed-out name”			
“Market value is \$1.23B”	10-Q cover page share count	108,176,959 × \$10.93 = \$1.182B . The \$1.23B figure implied ~4.3M shares that do not exist	NO — refuted (small, and it cut in the bullish direction). Our error
“The segment split of the tariff refund is unknowable without a company clarification”	Read the MD&A (primary)	Published as basis points: 595bps Accessories / 405bps Components / 480bps company . Our red bench declared this question closed while offering a 35-point-wide range, without opening the document	NO — our red bench called it dead unopened. Our blue bench closed it. Bench error, corrected
“Components gross profit is up 16.7% year over year” (red bench)	Ex-refund arithmetic on the bps bridge	That is the tariff artifact. Ex-refund Components GP is \$44.2M vs \$44.8M, -1.3% , on revenue -8.7%; margin 22.28% vs 20.59%	NO — bench error. Direction right, magnitude wrong
“Accessories margin expanded from 40.0% to 44.9% — the strong half of the business”	Same, subtracting 595bps	Ex-refund 38.96% vs 40.03%, down 107bps . The entire positive leg of the original case does not survive	NO — this was the pitch, and it broke
“Consensus is \$0.70 and our ex-refund \$0.72—0.81 matches it, so we have no differentiated view” (red bench)	Consensus pull, 9 analysts via S&P Global (source)	Consensus this year is \$0.89 (= guide midpoint, refund included); next year \$0.83. Red compared a reported-basis number against our adjusted number — apples to oranges. Corrected, we are 10–19% below consensus	NO — bench error. The “we agree with everyone” conclusion was an artifact
“Components weakness is expensive memory hurting DIY builds”	Product-category footnote (R61)	Memory revenue +17.2% ; everything else in components -33.0%	YES — refutes the price-pass-through story
“That decline won’t heal on its own”	Same footnote	No unit data is disclosed, only dollars. We cannot separate units from price	PARTIAL — plausible, not proven
“The 8/13–8/19 insider filings are executives selling into the pop”	EDGAR primary documents (Form 144 , Form 4)	A director sold 8,874 shares / \$121,487, restricted-stock related; the CEO filing is code F — shares withheld for taxes, not a sale	NO — refuted. Clean. Reported because the absence of bad behavior is itself a finding
“The company’s spoken guidance is more optimistic than its filings”	Compared transcript claims to the 10-Q	The opposite: management used the <i>less</i> flattering, more granular figures in the call. Not a masking case	Reported as a positive finding
Net cash of ~\$75M	Balance sheet R5 (source)	\$192.24M cash – \$6.12M – \$112.16M debt = \$73.96M	YES
“The filings publish no segment margin detail” (red bench)	MD&A	Wrong — the MD&A publishes per-segment margin bridges in basis points. Product-level margins and the fourth-quarter margin comment remain call-only	NO — bench error
Short interest	Statistics page	11.76M shares (prior month 10.90M), float 47.46M = 24.8% , 8.14 days to cover	YES — but single-sourced at one settlement date

Claim	How checked	Found	Confirmed?
Next earnings date 11/3	Data-provider derived	No company press release names it. Treat as unconfirmed	NO — unconfirmed

Six of the fourteen substantive checks refuted something we or our own reviewers had asserted. That is the honest score.

PROPOSED ENTRY BANDS

Today: no purchase. No order. No resting bid. The named reasons are (a) a fully retraced earnings pop, which is a pattern we are 0-for-7 on, (b) a 33% decline in the attach product line with no visibility into whether it stabilizes, and (c) the loss of the one thing that made the case attractive — the accessories margin expansion — once the tariff refund is removed.

Conditional starter (the only buy authorized by this deck): - Trigger: the third-quarter report, expected 11/3/26 but **unconfirmed** — the date must first be confirmed by a company press release. - **Both conditions required, evaluated on the released numbers, not the call:** 1. “Other component products” revenue flat or up versus the second quarter’s \$75.4M; **and** 2. Accessories gross margin at or above 39% *after* removing any tariff or duty benefit disclosed in the period. - **Size:** 0.4% of the book — **subject to the liquidity correction below.** - **Execution:** placed after the numbers are public. No order rests through the release. - **Liquidity constraint (this deck’s amendment to the bench’s number):** at ~1.4M shares / ~\$16M average daily volume, our standing 1%-of-volume rail caps a single session at roughly \$157,000 of stock. If 0.4% of the book exceeds that, the position is worked over the number of sessions required, or the size is reduced to fit — it is not pushed through in one print. - **If either condition fails:** stay flat. No partial entry, no “close enough.”

Valuation reopen bands (independent of the print — these reopen the file for a fresh review, they are not automatic buys): - \$8.64 — 8x underlying enterprise profit on the conservative end of our range (\$107.6M), adding back \$74.0M net cash across 108.18M shares. - **\$7.65** — 7x on the same basis. At this level the components collapse would be substantially discounted and the balance sheet becomes a meaningful share of the market value. - Note the adverse-selection problem stated in the pre-mortem: these levels get hit in the world where we are wrong about stabilization. They are review triggers, not conviction adds.

Trims and exits (only relevant if the conditional starter fires): - Exit in full if “other component products” makes a new low in any subsequent quarter. - Exit in full if accessories gross margin, adjusted for any one-time benefit, prints below 38%. - Trim half into any move above **\$13.22** (the analyst consensus target) — that is the anchor the short-covering move would run toward, and we do not hold through the anchor on a position whose thesis is positioning rather than value.

Catalyst dates: - 11/3/26 — third-quarter earnings. **UNCONFIRMED.** No company release names it. - **~mid-October 2026** — the company’s press release announcing the earnings date. Watch for it; this is what converts the date above to confirmed. - **8/31/26 and each subsequent settlement date** — short-interest updates. Our position on the squeeze tail depends on whether 24.8% is still climbing.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.65 (deck-provisional: 7x on the same basis; components collapse substantially discounted and net cash becomes a meaningful s)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Q3 results, any guidance revision, tariff/duty development, or pre-announcement — carries the two trig)
- dated pack CRSR|2026-11-03: CRSR: Q3 2026 earnings — the only date on which the conditional 0.4% starter can trigger (date confirmed=False)
- dated pack CRSR|2026-10-15: CRSR: approximate window for the company press release naming the Q3 earnings date — confirms or moves the line above (date confirmed=False)
- dated pack CRSR|2026-08-31: CRSR: next short-interest settlement date — tests whether 24.8% of float short is still climbing (date confirmed=False)

What remains unverified

- **The 11/3 earnings date.** Data-provider derived; no company confirmation.
 - **Why the stock fell from 8/10 to 8/21.** No news, no filing, no identified cause. The sponsor-block explanation fits the shape but has zero supporting evidence — no registration statement, no ownership amendment.
 - **Whether the components decline is units or price.** The filings disclose dollars only.
 - **Whether the collapse is one customer or the end market.** The large customer is unnamed.
 - **Product-level margins and the fourth-quarter margin comment.** These exist only in the earnings call, not in any filed document. We do not carry a verdict on call-only figures.
 - **Short interest as a series.** One settlement figure, one source; the second source timed out.
 - **Live pricing.** All prices here are the 8/21 close. Our brokerage connection was unavailable during the review, so nothing was polled live. Any order must re-poll first.
 - **Underlying profit of \$107.6–116.6M.** Derived from the enterprise-value multiple range rather than built from a reconciled cash-flow statement. The reopen bands inherit that imprecision.
 - **The Elgato/Marketplace growth claim** from the call. The outside sensor returned a lifetime rating but no dated series, so it stands unverified by anything external.
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